NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 11.11.2021 AT 10.30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CP(CAA) No.40/230/AMR/2020
NAME OF THE COMPANY	
NAME OF THE PETITIONER(S)	Monark Commercial Pvt Ltd & Ashtavinayak Vanijya Pvt Ltd & Shreeganesh Enclave Pvt Ltd
NAME OF THE RESPONDENT(S)	
UNDER SECTION	230

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No.40/230/AMR/2020 is allowed, vide Separate Orders.

JUSTICE TELAPROLUY RAJANI
MEMBER JUDICIAL

IN THE NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
HYDERABAD

CP (CAA) No. 40/230/AMR/2020
Connected with CA(CAA)No.4/230/AMR/2020,
CA(CAA) No.5/230/AMR/2020 &
CA (CAA) No.6/230/AMR/2020

Petition under Sections 230 to 232 of the Companies Act, 2013

1. M/s. Monark Commercial Private Limited
Registered office at D.No.1-25,
Goddu Kalava Street, Ramavaram,
Anaparthi Mandal, East Godavari District,
Andhra Pradesh - 533264.
... Petitioner/Transferor Company -1

2. M/s.Ashtavinayak Vanijya Private Limited,
Registered office at D.No.1-25,
Goddu Kalava Street, Ramavaram,
Anaparthi Mandal, East Godavari District,
Andhra Pradesh – 533264
... Petitioner/Transferor Company -2

3. M/s.Shreganesh Enclave Private Limited,
Registered office at D.No.1-25,
Goddu Kalava Street, Ramavaram,
Anaparthi Mandal, East Godavari District,
Andhra Pradesh - 533264.
... Petitioner/Transferee Company

Date of Order: 11.11.2021

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

1. Mr. K.Phani Kumar, Advocate for the Petitioners.
2. Mr. B. Jithender, CGSC for Regional Director (SER), MCA Hyderabad.
3. Official Liquidator

ORDER

1. This Petition is moved by the Petitioner Companies i.e., M/s. Monark Commercial Private Limited (Transferor Company-1), M/s.Ashtavinayak Vanijya Private Limited (Transferor Company-2) and M/s.Shreganesh Enclave Private Limited (Transferee Company) under Section 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 seeking for sanction of the proposed Scheme of Amalgamation ('the Scheme') between the Petitioner Companies.

2. The Registered Offices of the Petitioner Companies are situated in Ramavaram, Anaparthi Mandal, East Godavari District, Andhra Pradesh. The Petitioner Companies are closely held companies under the same management and the proposed scheme of amalgamation is with an intention to consolidate their business and to take advantage of operating efficiencies of business. It would also contribute in furthering and fulfilling its objectives and business strategies thereby accelerating growth, expansion and development of the business by optimum and efficient utilization of capital, resources, assets and facilities.

3. The Board of Directors of the Petitioner Companies in a meeting held on 20.11.2019 passed a resolution approving the Scheme of Amalgamation and authorised one Sri.Rama Linaga Reddy Medapati, Managing Director of the Transferee Company to sign the joint Company Petition to be filed before this Tribunal. The appointed date of the said Scheme of Amalgamation is 01.04.2019. The Transferor Company -1 and Transferor Company-2 and Transferee Company have 4 (four) shareholders each, all of whom gave their consent to the Scheme of Amalgamation. The Petitioner Companies do not have any Creditors.

4. This Tribunal dispensed with the meetings of the shareholders and creditors of all the Petitioner Companies vide its order dated 24.02.2020 in CA(CAA) No.4 /230/AMR/2020, CA(CAA) No.5 /230/AMR/2020 and CA(CAA) Nos.6 /230/AMR/2020. The Petitioner Companies are unlisted companies and do not require No Objection Certificate from any Stock Exchange for the Scheme of Amalgamation. No investigation proceedings are pending against any of the Petitioner Companies.

5. The Audited Annual Accounts of Transferor Company-1 for the Financial Year 2017-18 and 2018-19 were adopted by the Shareholders at the Annual General Meeting (AGM) held on 28.09.2018 and 23.09.2019 respectively. The Audited Financial Account Statements are annexed with the application for the period from 01.04.2017 to 31.03.2018 and 01.04.2018 to 31.03.2019, the Audited Balance Sheet for the Financial Year 2017-18 is also filed.

6. The Authorised Share Capital of Transferor Company-1 is Rs.10,00,000/- divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs,7,54,000/- consisting of 75,400 equity shares of Rs.10/- each.

7. The Authorised Share Capital of Transferor Company-2 is Rs.10,00,000/- divided into 1,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.8,02,000/- consisting of 80,200 equity shares of Rs.10/- each.

8. The Audited Annual Accounts of Transferor Company-2 for the Financial Year 2017-18 and 2018-19 were accepted by the shareholders at the Annual General Meeting held on 28.09.2018 and 23.09.2019 respectively.

9. The Authorised Share Capital of the Transferee Company is Rs.50,00,000/- divided into 5,00,000 equity shares of Rs.10/- each.

The issued, subscribed and paid-up capital is Rs.4,97,550/- consisting of 49755 equity shares of Rs.10/- each.

10. The Petitioner Companies are engaged in the business of acquiring by consultancy management, lease, exchange ownership, etc., of warehouse or any of the function of the property of real-estate dwelling houses, etc.

11. The Audited Annual Accounts of the Transferor Company for the Financial Year 2017-18 and 2018-19 were adopted by the shareholders at the AGM held on 28.09.2018 and 23.09.2019 respectively. The said statements are annexed to the application.

12. The Scheme of amalgamation is proposed with an intention to consolidate the business of the Petitioner Companies and to take advantage of operating efficiencies of business. It would also contribute in furthering and fulfilling its objectives and business strategies and would help in optimum and efficient utilization of capital resources, assets and facilities. It would also result in reduction of some overheads and other expenditure and would bring out operational rationalisation, efficiency and optimum utilization of various resources. The interest of the shareholders and creditors of the Transferee Company or the Transferor Company-1 and Transferor Company-2 will not be prescribed as a result of the scheme.

13. The Board of Directors in its meeting held on 20.11.2019 passed a resolution approving the scheme of amalgamation.

14. This Tribunal vide its order dated 01.09.2020 ordered notice of the hearing of the Petition to be advertised in daily newspapers. Accordingly, the Petitioner Companies published notice of hearing of the Petition on 03.09.2020 in Business Standard (English Daily) and Andhra Prabha (Telugu Daily).

15. The notice of hearing of Petition was served on the Regional Director, South Eastern Region, Official Liquidator, RoC – Andhra Pradesh and Income Tax Department. The Income Tax Department, the Regional Director and the Official Liquidator have submitted their reports.

16. The Income Tax Officer, Ward-1, Kakinada in the report dated 09.02.2021, while stating that the Board of Directors of the Petitioner Companies have changed the appointed date from 01.04.2019 to 01.04.2020 due to Covid -19 pandemic and took observation of the facts stated by the Petitioner Companies. But however, with a view to sufficiently protect the interest of revenue, the Income Tax Officer requested for an undertaking on oath to be given by the Transferee Company before the Tribunal that any tax demands of the Transferor Companies whether of existing tax liability or that is likely to arise in future, will be honoured and paid by the Transferee Company. With the said request the Income Tax Officer expressed that he does not have any objection for the proposed scheme of amalgamation.

17. In reply to the said report given by the Income Tax Officer, the Transferee Company submitted an affidavit which is to the effect that any tax demands of the Transferor Companies and the Transferee Company whether existing or which is likely to arise in future will be honoured and paid by the Transferee Company. Hence, the requirement as sought for by the Income Tax Department stands fulfilled.

18. The Regional Director (SER), Ministry of Corporate Affairs in its report mentioned that they received a letter from the Registrar of Companies (RoC), AP dated 18.12.2020, stating that they have no objection to the proposed amalgamation. But however, certain observations were stated to have been made by the RoC, which are nothing but the statutory requirements as laid down in Section 239 of

the Companies Act, 2013 and Rule 17 (2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013.

19. The report of the Regional Director (SER) also reflects that a letter was received from the Official Liquidator (OL) opining that the affairs of both the Transferor Companies appear to have not been conducted in a manner prejudicial to the interest of the members or to the public interest. An undertaking was also sought for by the Regional Director from the Petitioner Companies to the effect that there would be no retrenchment of any employee who were in service as on appointed date i.e., 01.4.2019. It was also stated that the Transferor Companies submitted their Balance Sheet as on 31.03.2019, but it is required to circulate the supplementary accounting statement of the last annual accounts of any of the merging company relating to a financial year in more than 6 months before the first meeting of the Company, summoned for the purposes of approving the scheme.

20. It was pointed out that the Transferor Companies have not filed the Audited Balance Sheet for the subsequent periods after the appointed date, i.e., 01.04.2019. It also sought this Tribunal to take an undertaking from the petitioner companies that the record date would be fixed immediately upon sanction of the scheme and before the effective date (dissolution) for transferor companies. The report also states that as per clause 6 (k) (Noncurrent Investments) of General Instructions for preparation of Balance Sheet of part-1 of division-1 of schedule-3 of the Companies Act, 2013 for preparation of Financial Statements for a Company, the Company has to furnish the details of the name of the bodies corporate, indicating separately whether such bodies are 1) Subsidiaries, 2) Associates, 3) Joint Ventures or 4) Controlled Special Purpose Entities in whom

investments have been made and the nature and the extent of the investments so made in each such body corporate.

21. It was also mentioned that the Transferor Company -1 has not disclosed the statutory details as required under clause-6(k) in their Audited Balance Sheets as on 31.03.2019, 31.03.2018 & 31.03.2017 which amounts to non-disclosure of the true and fair view in the financial statements thus violating Section 129 of the Companies Act. The number of shares which the Transferor Company-1 has invested into Transferor Company -2 were also not disclosed in the Balance Sheet of the Transferor Company-1. Hence, the latest financial position of the Company, Auditors Report is required to be submitted as per Section 230(2) (a) of the Companies Act, 2013. It was also pointed out that Clause 6 of part -2 of the Scheme provides for accounting for amalgamation in accordance with purchase method referred in Accounting Standard 14 (AS-14) and such accounting treatment is supported by Auditor Certificate dated 29.11.2019 but however it is noticed that neither the details of Specific Accounting were disclosed nor details of adjustment intended to be made to book values of assets and liabilities of Transferor Companies (1&2) were disclosed in the said Clause-6 of the Scheme. The Regional Director sought this Tribunal to direct the Petitioner Companies to amend Clause-6 of part -2 of the Scheme to provide for accounting under Pooling of Interest Method of AS-14 with specific details of the accounting. It was also pointed out that the valuation report attached at Para No.341 to 376 of the Petition remains undated and there is no valuation report submitted in support of share exchange ratio/consideration payable under Clause 5.1 of part-2 of the Scheme. It is also pointed out that the Scheme provides for allotment of 2,47,650 shares by Transferee Company on the ground of existing Shareholding of 2,47,650 number of shares

invested by Transferor Company-1 into the Transferee Company, whereas the said shareholding of Transferor Company-1 in Transferee Company has to get cancelled upon merger and to that extent the Scheme needs amendment. The Scheme also is stated as not providing for compliance and reference to Section 66 of the Companies Act, 2013 for reduction of Share Capital of Transferor Company with respect to Clause 5.4 of the Scheme. The similar objection is raised with regard to the Transferee Company. In answer to the said report the Managing Director of the Transferee Company filed and affidavit stating that the report of the RD only speaks about the legal compliances to be followed after amalgamation.

22. It is also stated that the observations made by the Official Liquidator in his report dated 04.01.2021 were reiterated by the RD in his report dated 26.03.2021 which were already answered in the reply affidavit dated 25.02.2021 to the observations of the Official Liquidator. The reply affidavit dated 25.02.2021 filed for the Official Liquidator report shows that an undertaking that no retrenchment of any employee, who was in service as on the appointed date would be done and that the same is already mentioned in the Scheme of Amalgamation. It also shows that the Audited Balance Sheets as on 31.03.2020 of the Petitioner Companies were already submitted with regard to the fixing of the record date. The affidavit states that an undertaking is given by the Petitioner Companies that record date would be fixed immediately upon the sanction of the Scheme and before the effective date is attached herewith with regard to the objections pertaining to Clause-6(k) (Noncurrent Investments).

23. It is stated that the investments made by the Transferor Companies were specifically mentioned in the notes to Financial Statements part-1 Clause-c & b wherein it was mentioned that the investments made

by the holding/subsidiaries/associates and the percentage of holding by each company which is less than 50% by each of the Companies in other companies in the total paid up capital and can be understood that they are associates to each other. It is also stated that there were no quoted investments held by both the Transferor Companies and hence there is no occasion to mention the market value of the quoted shares.

24. It was also mentioned that it was shown at note 13 of the Notes to Accounts to Balance Sheet that these investments are in unlisted Companies and also noncurrent investments indicating that these investments are long term investments. With regard to the observation pertaining to the Pooling of Interest Method, it is stated that the Scheme provides for accounting for amalgamation in accordance with Pooling Method and all the shares of Petitioner Companies are valued by the registered valuers for Balance Sheet ending 31.03.2020. However, the RD did not file any further objections to the reply filed by the Petitioner Companies. Hence, the objections raised by the RD in its reports have to be held as fulfilled by the Petitioner Companies.

25. The Official Liquidator has filed 3 (three) reports taking certain objections. The Counsel for the Petitioner Companies has filed replies for all the 3 reports. Since 3rd report is filed after the replies to earlier reports, the final report of the Official Liquidator and the observations mentioned therein can be considered. For the purpose of having better clarification, the Official Liquidator was directed to be present before the Tribunal. Heard, the Official Liquidator and Counsel for the Petitioner Companies, there are 6 (six) observations made by the Official Liquidator with regard to the Scheme of Amalgamation. Observations 2 to 4 are not in the form of any

objections and are only observations. With regard to observation 5, the Counsel for the Petitioner Companies submits that a revised Scheme is filed on 05.08.2021. The Official Liquidator does not press upon the 5th Observation. With regard to the 6th observation, the Official Liquidator admits that by oversight they came to a conclusion that there is no mention/ provision for the reduction of share capital in the scheme as required under Section 66 of the Companies Act, 2013. But in fact there is a provision made in the Scheme to that effect and hence the Official Liquidator does not press upon the 6th observation. The emphasis is only on the 1st Observation which is that the Petitioner Companies appear to be providing financial services as per the Audited Financials. In support of the said contention, the Official Liquidator relies on the Financial Statement submitted by the Transferor Company -1 stating that it is engaged in providing financial services. But the Counsel for the Petitioner Companies submits that as per the objects and the Memorandum of Articles (MoA) & Articles of Association (AoA) of the Company, the Company is not a financial company. The Official Liquidator, does not counter the said submission on facts. But the only contention is that in the background on the fact that the Company is not providing financial services, the Balance Sheet filed by the Transferor Company-1 with a mistaken fact has to be taken in to account for directing the Petitioner Companies to compound the same.

26. The Counsel for the Petitioner Companies and Official Liquidator do not raise any objection for the Petition being allowed the subject to the Petitioner Companies applying for compounding. Hence, the Petition is allowed subject to the Transferee Company applying for the compounding. In respect of the financial Statement containing

misleading fact that the Transferor Company -1 is providing Financial Services.

ORDER

The Petition be and the same is allowed with the following directions:-

a) The Scheme of Amalgamation (filed on 09.08.2021) with appointed date as 01.04.2020 is hereby sanctioned. The same shall be binding on the Petitioners and their respective Shareholders, Secured Creditors, Unsecured Creditors/Trade Creditors, Employees and all concerned.

b) This order shall not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges and fees if payable, or from any applicable permissions that may have to be obtained or compliances that may have to be made under law.

c) All concerned shall act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme forthwith.

d) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

e) The Petitioner Companies are directed to issue newspaper publication with respect to approval of the Scheme of Amalgamation, in the same newspapers in which previous publications were issued.

f) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Official Liquidator and the Regional Director (SER), MCA, GoI, Hyderabad.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu